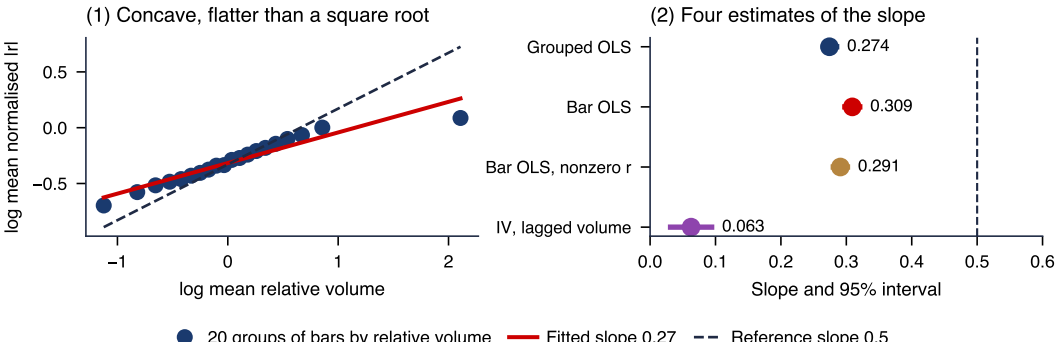
(1) Concave, flatter than a square root
log mean normalised |r|
0.5
0.0
−0.5
−1
0
1
2
log mean relative volume
(2) Four estimates of the slope
Grouped OLS
Bar OLS
Bar OLS, nonzero r
IV, lagged volume
0.274
0.309
0.291
0.063
0.0
0.1
0.2
0.3
0.4
0.5
0.6
Slope and 95% interval
20 groups of bars by relative volume
Fitted slope 0.27
Reference slope 0.5